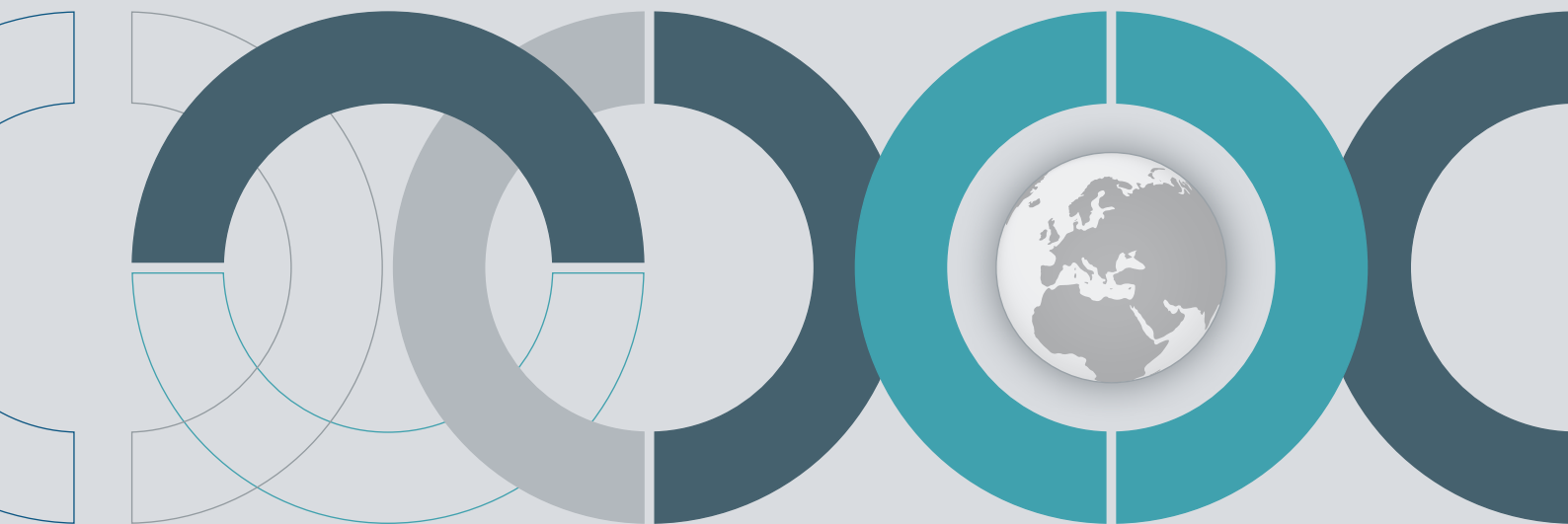




Towards a more
RESILIENT GLOBAL ECONOMY

30 November 2016 . Berlin

Axica . Convention & Conference Centre . Pariser Platz 3



Towards a more **RESILIENT GLOBAL ECONOMY**

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Introduction

This G20 conference on resilience will build directly on work under the Chinese presidency to make further progress towards ensuring strong, sustainable, balanced and inclusive growth. Both the Hangzhou Action Plan and the agreement on an Enhanced Structural Reform Agenda set the groundwork for continuing work during the German presidency. This continuity is essential to ensure substantive progress is made and longer term commitments are followed through.

As recognised under the Chinese presidency, economic growth in the G20 is weaker than desirable. This reflects inter alia necessary rebalancing towards more sustainable growth models, but also slow progress in implementing structural reforms, which hampers our growth potential. Coupled with high public and private debt and very low monetary policy rates in many countries, these factors weaken our ability to prevent, mitigate and recover from economic and financial crises, and to address major structural challenges and long-term trends, such as weak productivity growth and aging populations. All G20 members have experienced the devastating impact of the last financial and economic crisis on growth, employment, public finances, social cohesion and the support for globalisation. We should do everything to avoid that such a crisis reoccurs.

To this end, policy buffers which were critical in fighting the global financial crisis need to be rebuilt. This is an essential step towards fostering resilience in the medium-term and thus the preparedness for future crises. Tailored structural reforms are likewise crucial to stimulate growth and make our economies more dynamic and innovative, putting them on a sustainable growth path. This in turn fosters resilience to shocks and helps addressing long-term challenges. In sum, it is vital that more is done to enhance resilience in the future.

The first aim of the conference is therefore to highlight the issue of resilience and discuss its component parts. The conference will aim to establish what we mean by "resilience", how wide ranging the concept is, and to therein set the scope of future work to enhance resilience. The second aim is to discuss policy measures which individual economies can use to enhance resilience.

The conference will ensure that work during the German presidency is underpinned by solid expert advice. It will ensure that there is continuity between work done under previous G20 presidencies and also work done in an academic and research context. The results of the conference shall feed into the resilience debate in subsequent G20 meetings.

Ludger Schuknecht
Finance Deputy
Federal Ministry of Finance

Claudia Buch
Central Bank Deputy
Deutsche Bundesbank

Daniel Gros
Research Director
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Agenda



We will gather together in one of Berlin's most prestigious venues to discuss the most sensitive and consequential issues on the global financial agenda today. The setting will be informal, designed to encourage interactive exchanges, based on the highly successful model we have pioneered with the "CEPS Ideas Lab", an annual forum CEPS has organised in Brussels since 2014. The conference will be structured along six overarching themes, which will be explored in-depth in parallel working groups. Each session will host around 50 high-level participants, each of whom will be encouraged to actively contribute to the debate. There will be no formal presentations. At the beginning of each session, 2-3 lead animators will be given a few minutes each to introduce their points of view. The floor will then be opened for a free discussion among all experts in the room.

A different, more informal layout of the rooms, the interactivity of the debate and the fact that everybody is invited to actively participate leads to lively debates, in which ideas flow freely and are further developed in the exchanges. An overview of the programme for our conference is provided below. It is important to register in advance for one of the six overarching themes!

30 November 2016 / Towards a more resilient global economy

	07.30 - 08.30	Registration / coffee						
	08.30 - 08.55	Welcome remarks						
								
	Main themes	Public debt Sustainability and transparency	Private debt Deleveraging and avoiding bubbles	The real economy Resilience through flexibility	Taxes Improving the Global Framework	Capital flows Shocks or shock absorbers?	Global financial architecture	
	1st Session 09.00 - 10.20	Enhancing public sector transparency	The central bankers' dilemma: Deleveraging or credit growth?	Is there an SME myth?	Domestic resource mobilisation	Macro-prudential measures and capital controls: Substitutes or complements?	Global financial architecture: The macro and the micro picture	
	10.20 - 10.50	Coffee break						
	2nd Session 10.50 - 12.10	Metrics and rules for debt sustainability	Asset price bubbles: Measurement and responses	Which structural reforms help foster resilience?	Investment and tax (un)certainty	EMEs and capital flows: Is more better? What is more stable bank or bond finance?	The IMF and RFAs: Cooperation, integration or competition?	
	12.10 - 13.40	Lunch						
	3rd Session 13.40 - 15.00	Sovereign debt and fiscal dominance	How to make equity finance more attractive?	Flexibility vs. (social) security: Is there a contradiction?	Digital value added: How to tax the intangible?	External effects of capital controls: Race to the top or the bottom?	Global safety nets: better incentives versus more money?	
	Chair	Carmen Reinhart	Claudio Borio	Ngaire Woods	Pascal Saint-Amans	He Jianxiong	Hélène Rey	
	15.00 - 16.00	Concluding Panel (with brief reports from 'rapporteurs' (5 minutes each) on actionable ideas)						



Public Debt

Sustainability and transparency

Session 1. Enhancing public sector transparency

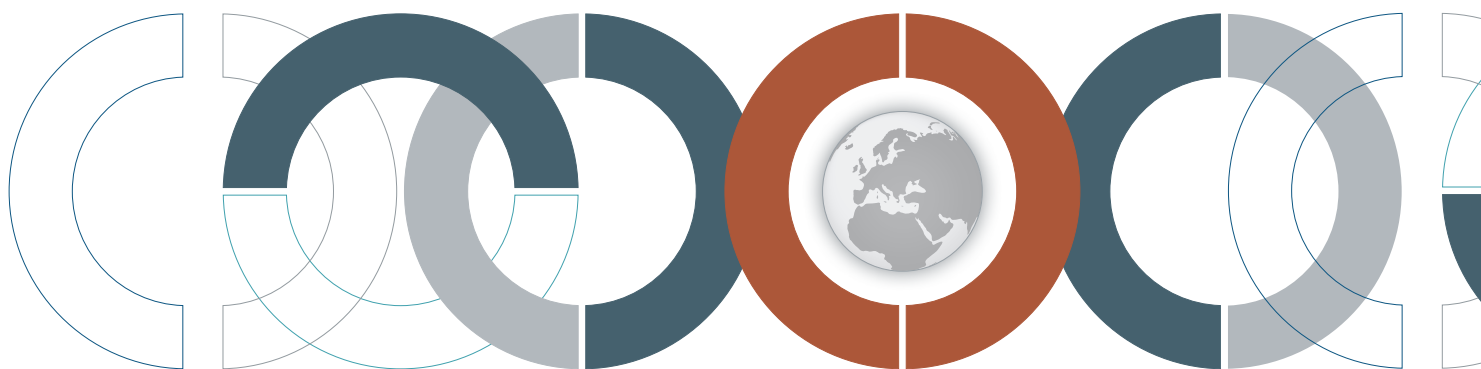
Public sector accounts are often full of surprises. In a crisis, hidden liabilities tend to emerge, aggravating problems that were already visible beforehand. But even in non-stressed situations, it is often not clear what the public sector owns nor what it owes (contingent liabilities). Drawing up audited balance sheets for the public sector (not just central government) would bring clarity, not only regarding solvency (the net asset – liability position), but also regarding resilience, i.e. the capacity of the public sector to withstand shocks.

Session 2. Metrics and rules for debt sustainability

The analysis of debt sustainability is more an art, than a science. The debt/GDP ratio remains the most widely used metric, but is it still relevant with interest rates close to zero? Can one really measure 'willingness' to service debt? In the case of Greece, the IMF has switched from the debt/GDP ratio to gross financing needs. Should this criterion be applied more generally? What rules would be best to ensure the longer term sustainability of public debt? Is „Ordnungspolitik“ (good institutions) or stimulus the best way to debt sustainability?

Session 3. Sovereign debt and fiscal dominance

An extensive literature emphasises the importance of the existence of a riskless asset for a well-functioning financial system. In banking regulation, public debt fulfils this role. But high levels of debt make public debt more risky. There is thus an inherent contradiction between the desire to increase the supply of riskless assets and the need to keep public debt safe by keeping debt ratios low. A related issue will arise when central banks exit from their unconventional policies. Will they still be able to control interest rates and their balance sheets when their actions might destabilize public debt markets?





Private Debt

Deleveraging and avoiding bubbles

Session 1. The central bankers' dilemma: Deleveraging or credit growth?

It is by now widely recognised that high levels of leverage threaten financial stability. But at the same time, many central banks try to stimulate credit growth because they find growth rates and inflation too low. But how can leverage decline without lower, or even negative credit growth? What can we learn from individual country experiences on how to deal with non-performing loans and how to engineer a creditless recovery?

Session 2. Asset price bubbles: Measurement and responses

Since the bursting of the housing bubble in 2007-08, it is clear that bursting asset price bubbles can have very high economic costs. But it remains difficult to identify bubbles. Does any valuation exceeding some historical norm deserve to be classified as a 'bubble' which will soon burst? If so, how would one judge present long-term interest rates (or the prices of long-term bonds)? What is the real danger? High and rising asset prices, or the credit that was extended on the basis of high asset valuations?

Session 3. How to make equity finance more attractive?

There is wide agreement today that equity finance is more stable, or rather more loss-absorbing and thus less subject to crises of confidence. It is difficult, however, to identify concrete measures that would have a concrete impact in terms of increasing the attractiveness of equity. After all, the tax advantage of debt should be less important in an environment of low for long. The FSB has already made proposals to achieve better corporate funding structures. How can G20 members be incentivised to act?





The Real Economy

Resilience through flexibility

Session 1. Is there an SME myth?

Support for SMEs is a widely accepted policy goal. But research has shown that in many cases larger firms are more productive. In some countries, excessively small firm size is perceived as an obstacle to growth and higher productivity. Moreover, it is not clear whether smaller firms are more flexible given the limited investment they make in the general human capital of their employees. It is thus possible that in some countries the dominance of SME has a positive impact on growth and resilience, but not in others. Does it make sense to favour SMEs in general or should policy makers distinguish between SEs and MEs? Should one first address the regulatory barriers which impede the growth of small firms into larger ones?

Session 2. Which structural reforms help foster resilience?

Structural reforms have become the mantra of policy-makers almost everywhere. But it remains very difficult to determine whether the reforms that have formally been adopted increase flexibility and make a difference in reality. The OECD has various indicators suggesting in general that progress has been made, but survey indicators show little progress on the ground. How do we measure flexibility (and what kind of flexibility matters most for resilience)? What can we learn from the empirical literature about the reforms which increase resilience and growth? Which structural reforms support social resilience in the sense of social coherence?

Session 3. Flexibility vs. (social) security: Is there a contradiction?

This is an age-old conundrum. For a long time the Scandinavian model of 'flexicurity', which combines both of these two elements, has been held up as a worthy approach. Is this judgement still valid today? What kind of flexibility will stabilise an economy and thus help to secure social security? More flexibility might also increase the short-term impact of shocks, but with the advantage, that the adjustment to a new equilibrium is also faster. Is there thus a trade-off between flexibility and (short term) stability?





Taxes

Improving the Global Framework

Session 1. Domestic resource mobilisation

Domestic resource mobilisation remains a problem in many countries. The key issues is usually domestic, but weaknesses in domestic tax administration can have large cross border spill-over effects. How can global cooperation prevent tax base erosion and profit shifting if countries differ widely in their capacity to implement common rules?

Session 2. Investment and tax (un)certainty

Uncertainty decidedly acts as a key brake on investment. The ongoing effort to close tax loopholes and improve the taxation of globally active corporations might thus have undesirable side effects. Can more coordination help to reduce uncertainty? Would it be useful to agree on some basic principles for tax policy to reduce the uncertainty for the private sector? What principles (accountable tax policy, low frequency of tax law changes, simple tax codes) can improve tax certainty?

Session 3. Digital value added: How to tax the intangible?

With more and more services and content traded in digital form, there is a need to reflect deeply on how the tax system should be revamped to take this trend into account.





Capital Flows

Shocks or shock absorbers?

Session 1. Macro-prudential measures and capital controls: Substitutes or complements?

Financial crises often arise from a sudden stop to capital flows. One way to limit this danger is to restrict capital flows. Another approach would be to structure the financial market in such a way that the damage from a sudden stop is limited. Which approach is more promising? Is there a need to coordinate between the countries receiving capital inflows and those from which the capital originates (or is intermediated)?

Session 2. EMEs and capital flows: Is more better? What is more stable bank or bond finance?

The role of global capital markets is in principle to channel the flow of capital from (capital) rich countries to poorer emerging economies. But experience has shown that the form of these flows has a huge impact on financial stability. In particular, short-term portfolio flows have often been identified as posing the greatest danger to financial stability. Is less better in this case? In the 1990s banks were in trouble because of their exposure to EMEs, and bond finance seemed more stable. This changed again after Argentina. What provides more resilience: bank or bond finance?

Session 3. External effects of capital controls: Race to the top or the bottom?

The imposition of capital controls might produce external effects. If a country imposes controls in a crisis, financial markets might anticipate a similar move elsewhere, thus leading to capital flight in other countries and possibly even forcing these countries to impose controls as well. Is some coordination required in this area to limit systemic effects? What is the role of the OECD and the IMF's codes of conduct and rules in this area?





Global Financial Architecture

Session 1. Global financial architecture: The macro and the micro picture

Ensuring the resilience of the global financial system requires attention to macroeconomic factors, such as current accounts, external debt, etc. But the way macroeconomic imbalances are resolved also depends on the structure of financial markets, in both creditor and debtor countries. Is one factor more important than the other? How can one integrate these two aspects?

Session 2. The IMF and RFAs: Cooperation, integration or competition?

Regional financing arrangements might fulfil a useful role in areas where regional financial links are particularly strong. In the case of the euro area, the IMF has come in alongside the ESM. Is this the best model? Or should we also think about the IMF working through regional arrangements? Is there a danger of a race to the bottom in terms of conditionality in the absence of coordination between the global and regional safety nets?

Session 3. Global safety nets: better incentives versus more money?

The global financial crisis has illustrated the importance of safety nets, which were strengthened in many parts of the world. But stronger safety nets also create moral hazard problems. Given the current excess supply of savings the general question of liquidity versus insolvency arises again: is there a need for a larger global safety net or stronger incentives to strengthen resilience at the national level?





Federal Ministry
of Finance



DEUTSCHE
BUNDESBANK
EUROSYSTEM



Venue

AXICA

Convention & Conference Centre

Pariser Platz 3

D-10117 Berlin

Conference organised by the

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